



EABL – Building An Enduring Business

Six months to December 2005

Nairobi: 3 February 2006



**EAST
AFRICAN
BREWERIES
LIMITED**

A decorative vertical bar on the left side of the slide, featuring a yellow background with various African art motifs, including a mask, a bird, and a person's face. Two small square images are also present: one with a colorful geometric pattern and another with a black and white abstract design.

EABL Business Review

Gerald Mahinda
Group Managing Director



**EAST
AFRICAN
BREWERIES
LIMITED**

Economic operating environment

- > The core EA markets are stable and growing (2005 -2007)
 - > Kenya – 4.5-5.5%
 - > Tanzania – 5.5-7.0%
 - > Uganda – 6-6.5%
- > Smooth elections and handover in Tanzania. Elections in Uganda and Kenya in 2006 and 2007, respectively - will create anxiety....but unlikely to lead to major disruption
- > Donor funding a large component of funding for Uganda and Tanzania [GDP/Capital growth lower, income polarisation]
- > Debt relief for Uganda [US\$ 126m] and Tanzania [US\$ 300m] will have +ve impact [June 06 expected effective date]
- > Stabilising macro economic parameters [inflation, interest rates, x-rates]...however current drought and volatile oil prices are a risk
- > Relatively little impact of EAC on individual economies. Rwanda and Burundi applied to join the CET

Alcohol Market Polarised & Highly Competitive

Spirits & other

- ✓ Industry fragmented
- ✓ PET proliferation in Kenya
- ✓ Low barriers to entry in spirits, especially in the value sector

- Traditional or illicit
- Higher volume
- Cheap spirits
- Unregulated or untaxed
- Health issues

Beer

- ✓ Volumes drop in Kenya
- ✓ Uganda volumes growth
- ✓ Direct competition in Kenya and Uganda

- Traditional/illicit brews
- High volumes
- Cheap
- Health issues
- Unregulated & untaxed

Branded

Non branded

Total Alcohol Market...

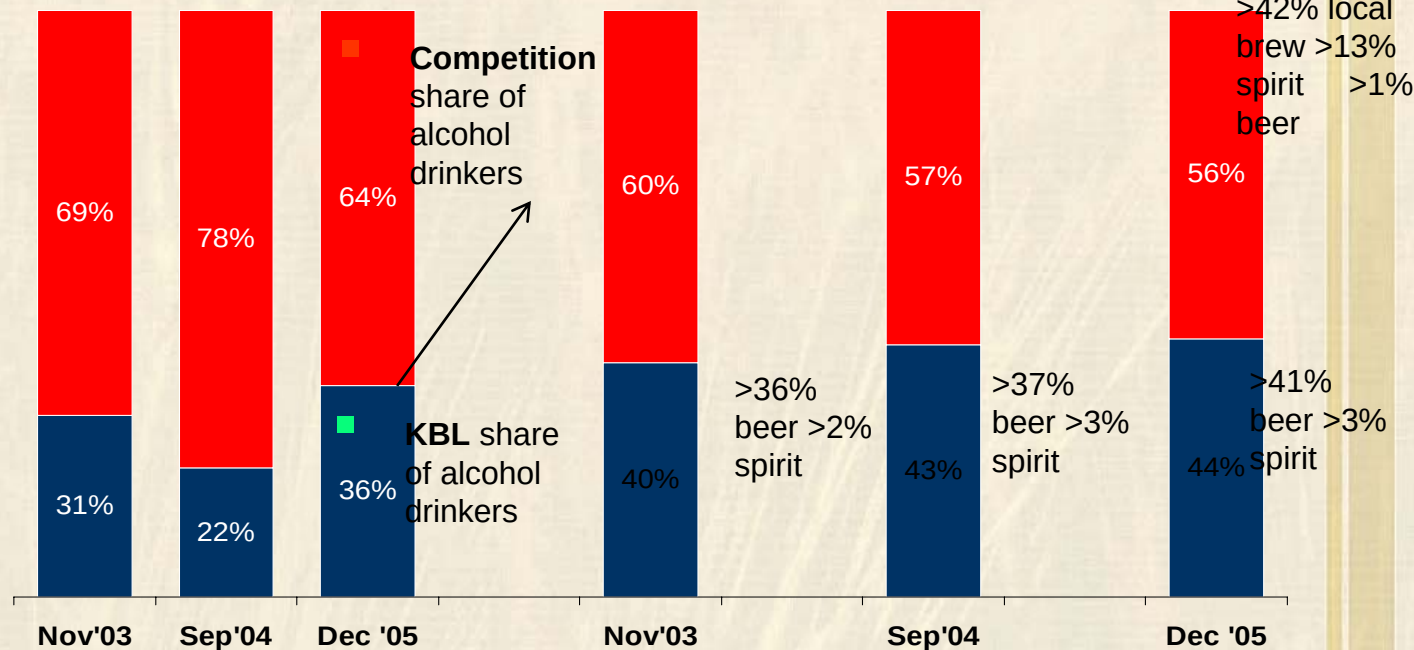
>41% Never
tried

>28% Lapsed

Dec '05
44% never
tried
20% lapsed

Non alcohol
drinkers

Nowadays
alcohol
drinkers



Shares are based on most often
drinkers of KBL brands Vs
Competitor brands

**EAST
AFRICAN
BREWRIES
LIMITED**

Outlook of the alcohol market

- > Alcohol markets in East Africa are growing at lower than GDP growth...but
 - > The market is getting polarized – lower and top end outperforming the mainstream
 - > Spirits exploded driven by the lower end of the market [different tax structure and compliance]
 - > The shape of the market is changing in favour of the value end
- > Competition is increasing in impact...and the nature of the competition is changing...it is less conventional / more localised
 - > The spirits market is especially affected [low barriers to entry and tax compliance issues]
- > Views on alcohol are polarizing:
 - > Quasi Government and other bodies increasingly “anti”...“alcoblow” in Kenya, sachets ban, tax increase
 - > Consumers increasingly liberal (e.g. to “hot” spirits...no longer seen as “vile”)
 - > “Value” proposition is increasingly important - in Kenya, beer risk being priced out of “reach” of most consumers as a result of very high tax...consumers will increasingly trade down

Headlines...

Volume Beer:1,932Khl Spirits:559K 9 litre cases

Growth: Beer: 7% up Spirits: 84% up

Net Sales Value: Kshs 11.1bn (+7%)

Marketing spend: Kshs 713m (+33%)

Capex spend: Kshs 1.6bn

Cashflow: Kshs 6.5bn

H1 In Kenya...

- > A challenging business environment in Kenya for our beer business
 - > Tax increase of 10% in June budget – affected growth and margins [did not pass full increase to consumers]
 - > Anti-alcohol measures including “alcoblow” introduced at Christmas
 - > Increased competition from cheap spirits...different tax structure and huge compliance issues
 - > Although we had a slow start in Kenya we closed with a very strong second quarter especially the December month.
- > Spiritsexplosion of market driven by low end PET packaged spirit ...affected our spirits product mix
- > Shut down of our glass plant for furnace rebuild and our malting plant for maintenance for the first quarter...affected earnings
- > Keg line for Senator brand commissioned one month late...end October

H1 In Kenya Contd...

- > We have continued to invest for growth:
 - > A lot of capex now in place [brew house, keg line, DPVs/tanks, furnace, spirits line, glass furnace, maltings boiler...]
 - > Completed the re-location of spirits production to Ruaraka
- > We are addressing the competition issue through
 - > Focusing on our core brands [Tusker, Pilsner, Guinness]
 - > Building lasting partnerships with our trade partners
 - > Enhancing our sales execution...increased footprint and effectiveness
 - > Using our Senator offering to bring new consumers into branded alcohol
 - > Working with Government on taxation
 - > Looking for JV partners for our malting and glass businesses
- > Through these initiatives and investments we setting the foundation for delivering growth in the future



H1 In Uganda...

- > Excellent six months with volumes 15% above prior year
- > Best December volumes for the business
- > Spirits doubled in volumes through launch of Liberty....our new innovation
- > But overall beer market has shifted in favour of value sector.
- > We grew market share for beer especially our share in the premium and mainstream segment.
- > Investment in plant has continued to yield gains in enhanced quality and security of supply
- > Appointed a new MD to run Uganda [Baker Magunda] from 1 February 2006

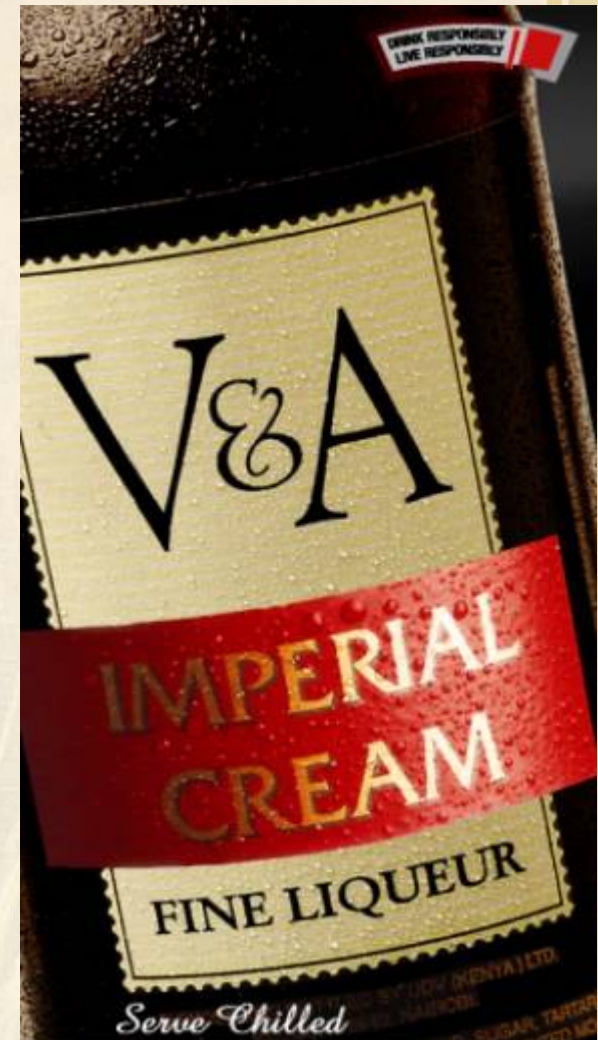
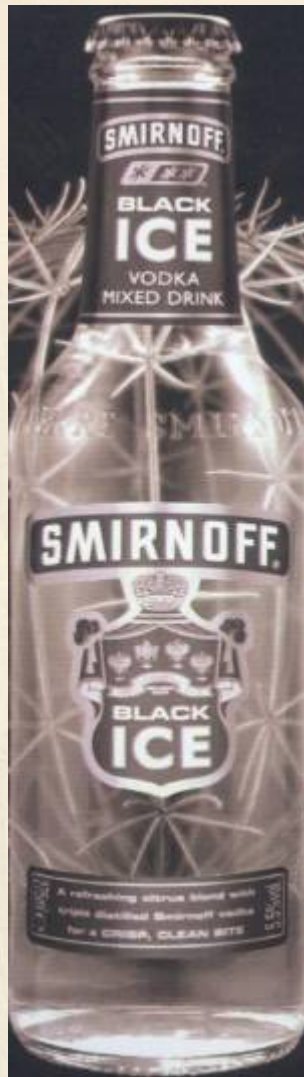
H1 In Tanzania...

- > Solid growth delivery of 5%
- > Economy positive and elections went smoothly
- > Mainstream beer sector competitive
- > Innovations in H2 will support continued growth



**EAST
AFRICAN
BREWERIES
LIMITED**

Innovations in H1 F05...



**EAST
AFRICAN
BREWRIES
LIMITED**

New Brand Communications in H1...

> New Bell campaign (Uganda)

My passion is my music
My message is my song.
The stage is set for 'morrow.
The fans will come along.

Control.
It's what controls the goals.
It's what controls the game.
It's what controls the future.

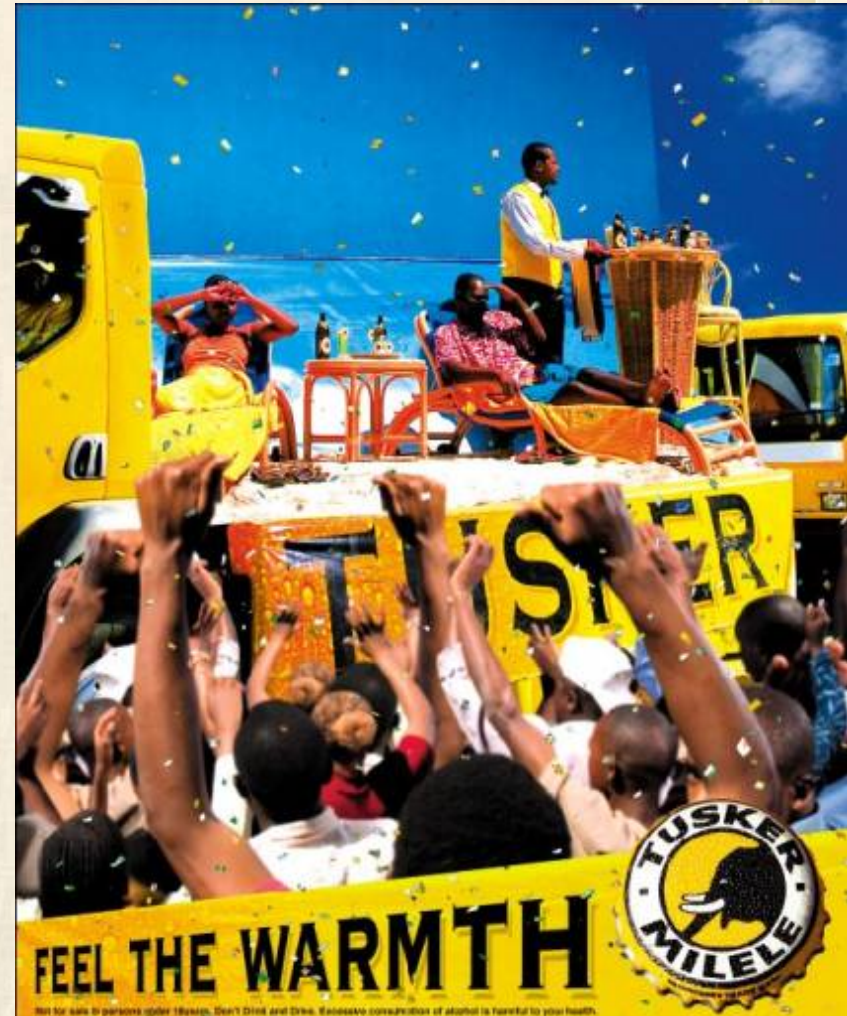
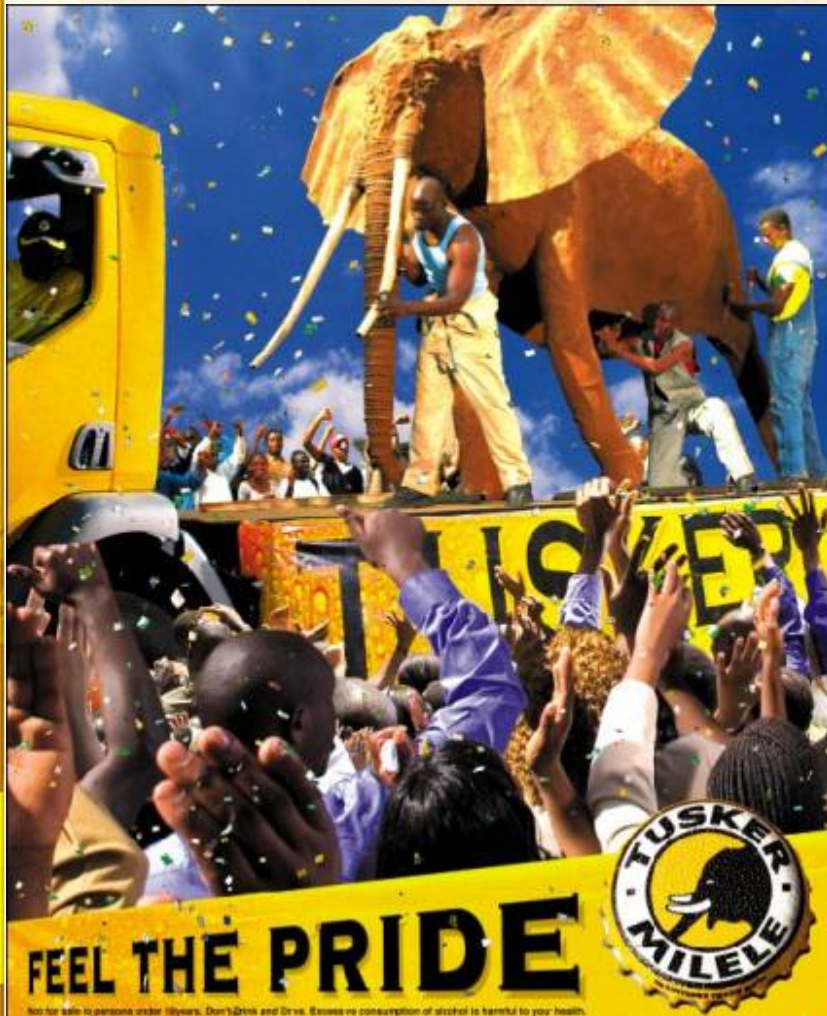
BELL LAGER SHARES YOUR PASSION.

STRICTLY NOT FOR SALE TO PERSONS UNDER 18 YEARS. EXCESSIVE CONSUMPTION OF ALCOHOL IS HARMFUL TO YOUR HEALTH.

**EAST
AFRICAN
BREWRIES
LIMITED**

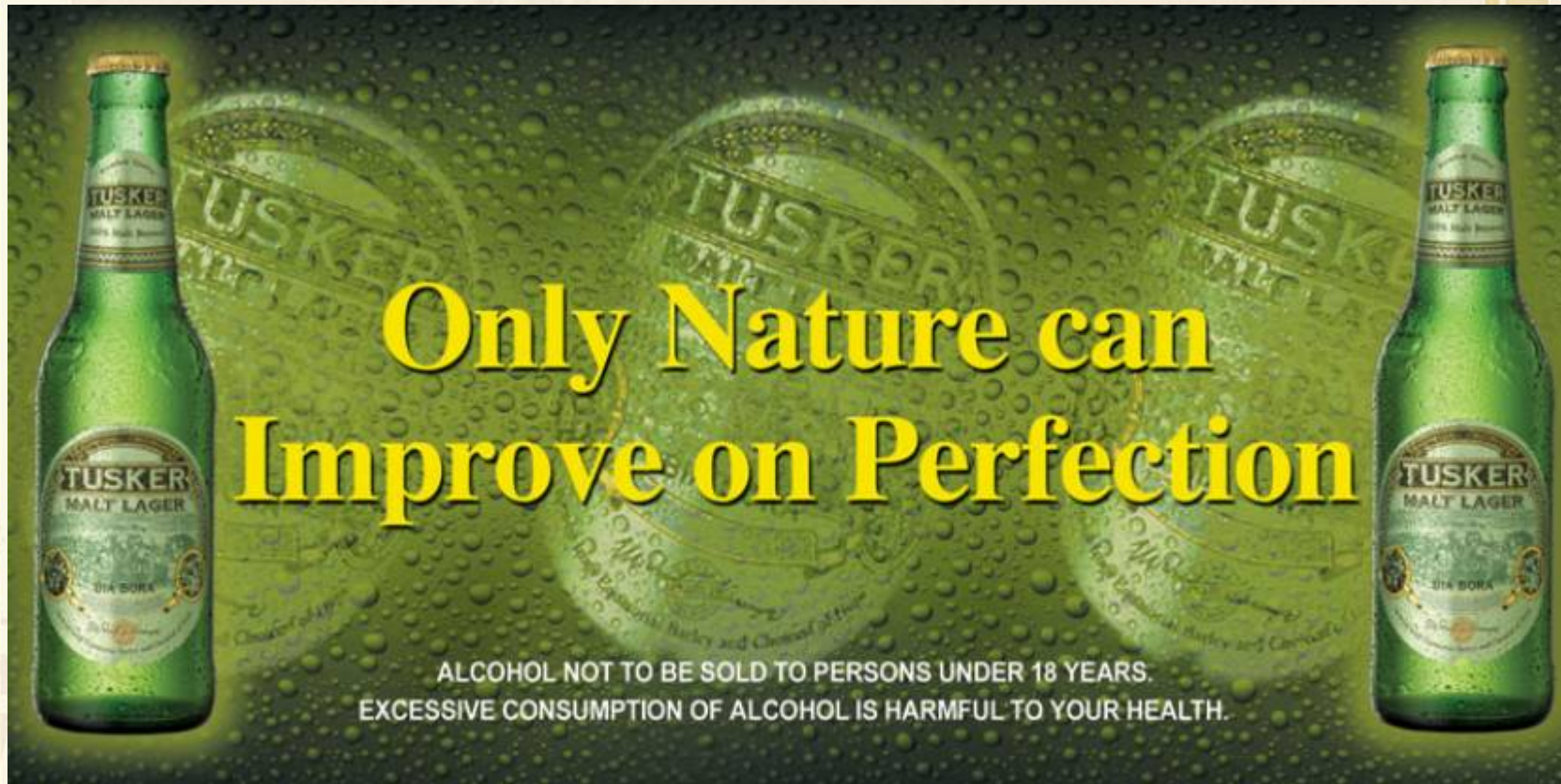
New Brand Communications in H1...

> Tusker Milele campaign (Kenya)



New Brand Communications in H1...

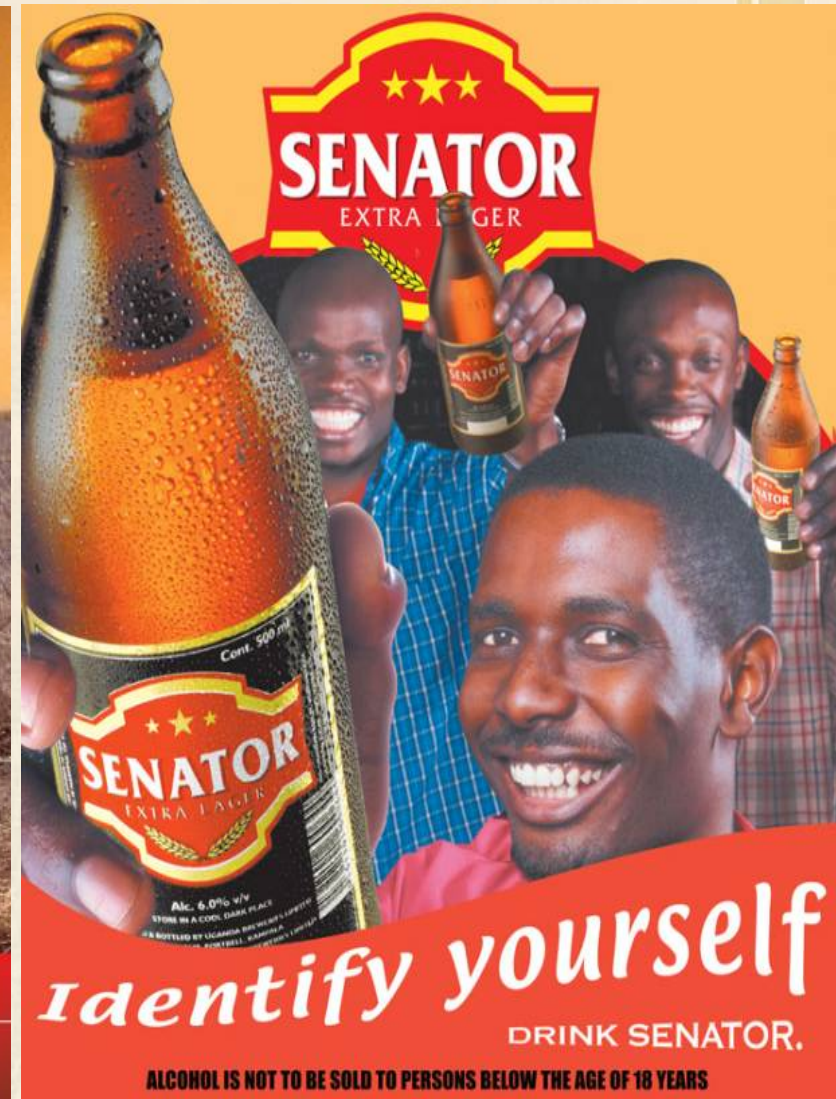
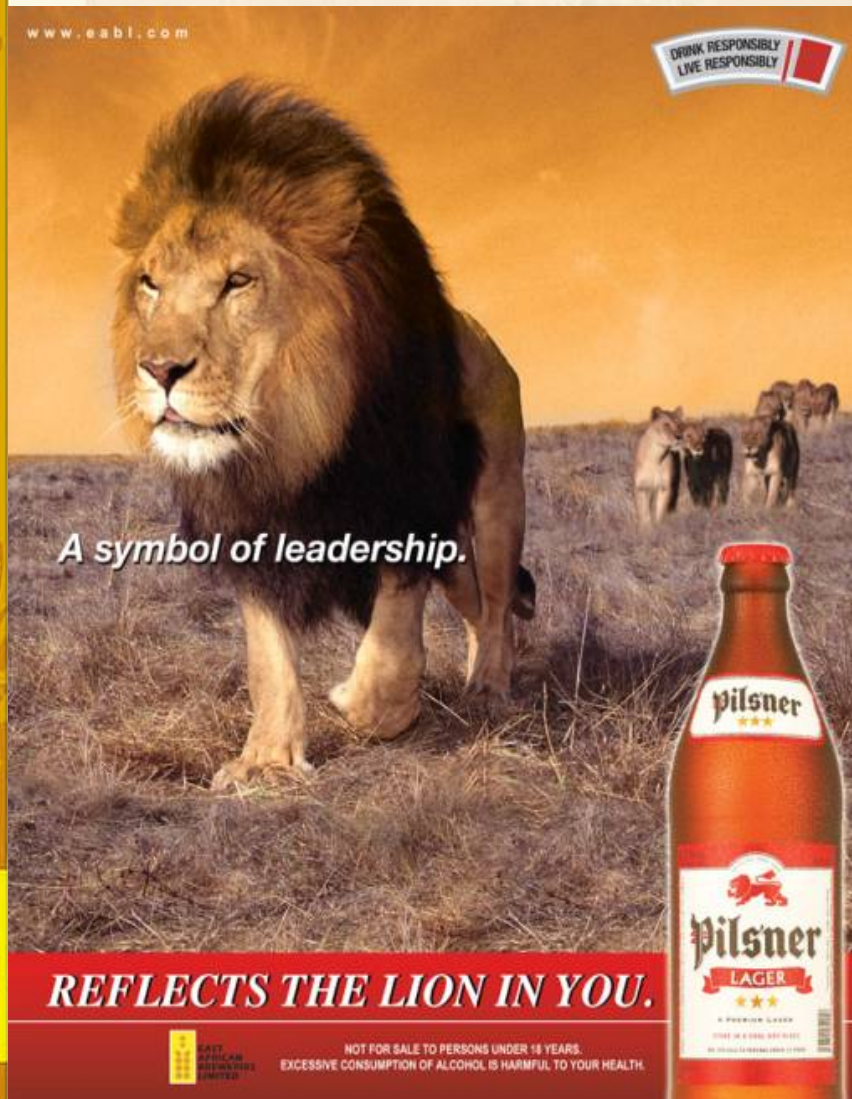
- > Tusker Outdoor (Uganda)



 EAST
AFRICAN
BREWERIES
LIMITED

New Brand Communications in H1...

- > New Pilsner (Kenya) & Senator campaigns (Uganda)



A new Route to Market in H1...

Sambaza :

- > Primary Haulage already implemented – Distributors to focus on secondary distribution**
- > Distributor Financing – Underway already 50% of the distributors are in this scheme including EFT**
- > Technology in Primary Distribution –Underway to be completed in April 2006.**
- > Distributor rationalisation - DMP**
- > Tusker Academy**
- > Model Distributor**

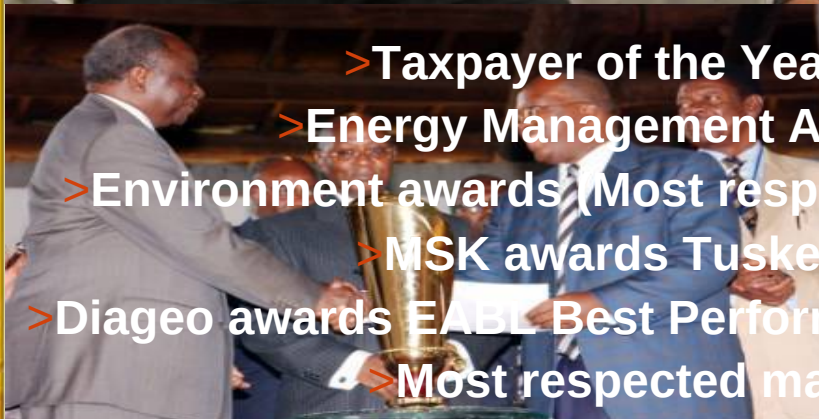
H1 Capital Investments...



- >Commissioning of the keg line & spirits line at KBL as well as a new yeast plant
 - >Installation of 4 Dual Purpose Vessels (DPVs)
 - >New Furnace at CGI
 - >Utilities [boiler/refrigeration] in Uganda
 - >Full overhaul and second boiler at KML



EABL – recognised in H1...



>Taxpayer of the Year – Kenya & Uganda

>Energy Management Awards – Kenya (NEMA)

>Environment awards (Most respected Corporate) – Uganda (UIA)

>MSK awards Tusker & Senator - Kenya

>Diageo awards EABL Best Performance & Excellence in Leadership

>Most respected manufacturer - Kenya

EABL & Responsible Drinking...



Alcohol and You

Dr. Margaret Mungherera answers your questions on Responsible Drinking

- > Held a 1 day forum on prevention of Under age – Stakeholder forum
- > Universities & Colleges Lectures
- > Festive season designate driver campaign
- > Q & A in newspaper daily's
- > Press and Radio Campaign on RD



EAST
AFRICAN
BREWERIES
LIMITED



GOING TO PARTY?

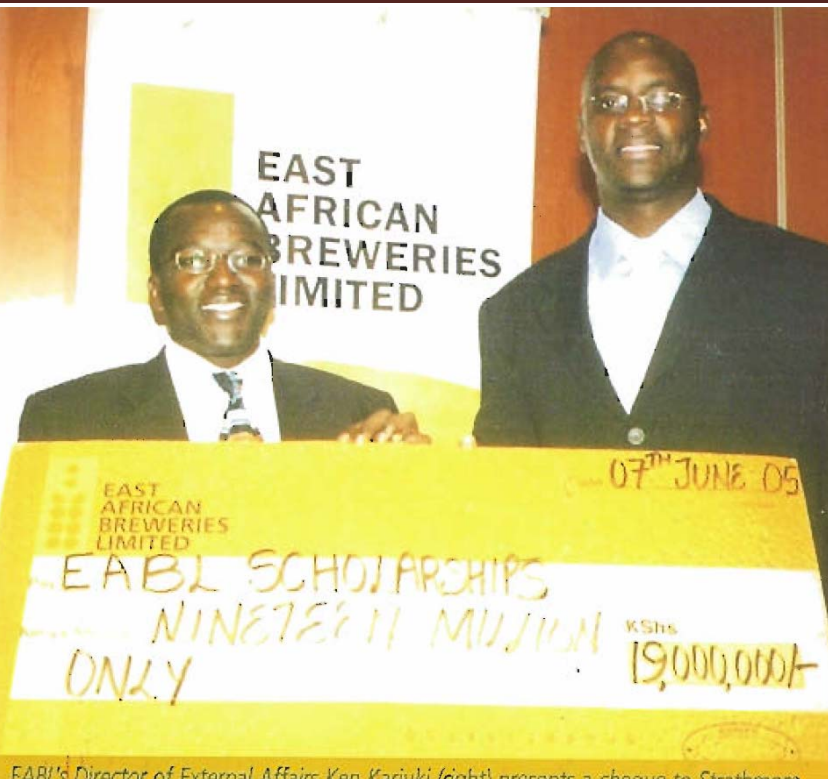


DESIGNATE A DRIVER

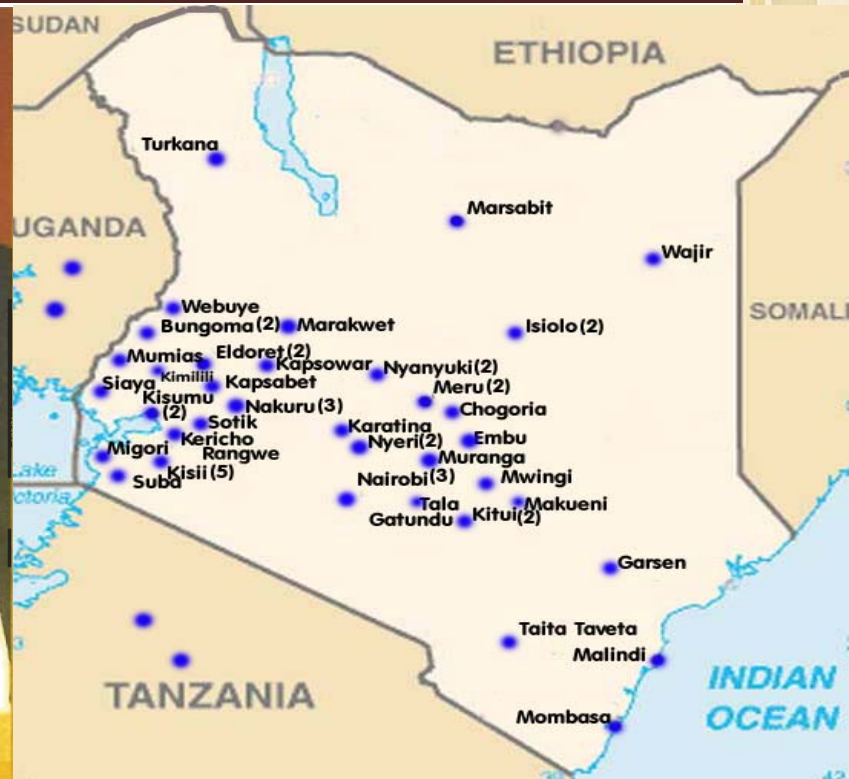
THIS FESTIVE SEASON, CELEBRATE WISELY.
EABL CARES.



EABL Foundation, skills for life...



EABL's Director of External Affairs Ken Kaduki (right) presents a cheque to a student.



- > **Funding of scholarships for students in Kenya, Uganda & Tanzania – 19 mKsh**



EABL Foundation, water of life...



- > **Kabale rainwater harvest project.**
- > **110 water-tanks commissioned**

- > **Commissioning of Nyatigo borehole**



EABL Foundation, environment...



Formation of EABL Green Team.
A team made of staff of different subsidiaries who's mandate and role is to drive an aggressive tree planting exercise continuously in water catchment areas and open land



EABL Foundation, environment...

Barley Farming update:

- 1,500MT harvested
- 2,000 acres planted
- Uganda Enterprise developing KACOFA
- Barley certification trials in progress
- 6,500 acres targeted (1,500 acres in the West)
- Kabarole, Kaseese, Kabale farmers sensitised
- 78MT local seed produced



EABL Foundation, save a life...



- > Relunched in 2005
- > 7.4 mKsh so far dispatched to SALF
- > 3.7 mKsh to Kilifi
- > 3.7 mKsh to North Eastern



EABL – Responding to National disasters...



- > EABL chairman and GMD presented President Mwai Kibaki with a cheque of Kshs 12 Million from EABL Foundation. The money is to go towards the famine relief fund.



Our Focus in H2 F06...

- > We'll focus on our core/mainstream business in Kenya/Uganda
 - > trading up consumers
- > Improve value for money through better offerings across the board
- > Drive a more premium mix by focusing on higher margin products
- > Brilliantly execute targeted below the line activities
- > Drive customer partnership to create the outlets of the future
- > Recruit new consumers to drive genuinely new consumption mainly through our Senator brand and through innovation

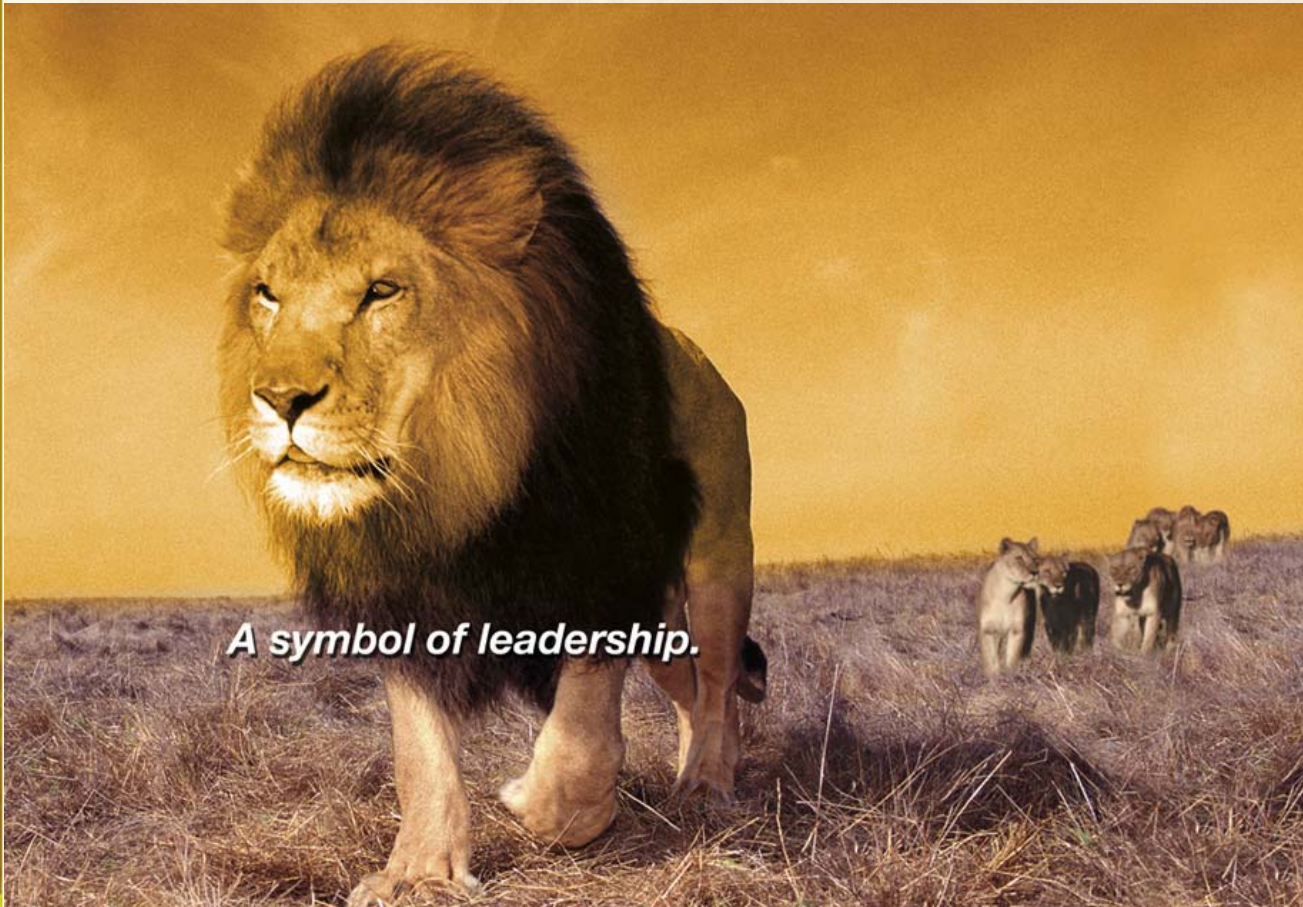
Innovation a feature of H2 also...



**EAST
AFRICAN
BREWERIES
LIMITED**

Other innovations...

- > Pilsner launch in Tanzania.



A symbol of leadership.

Imara Kama Simba.

HAIUZWI KWA WENYE UMRI CHINI YA MIAKA 18.



Our Key Enablers...

- > We'll simplify our business and free resources for critical areas.
- > Significantly enhance our sales organisation to improve footprint, effectiveness and build lasting partnerships
- > Optimise our distribution and logistics across our business (complete implementation our RTM project)
- > Drive towards “lowest cost producer” status through lower input costs and efficient organisation
- > Build an effective sales organisation structure



**EAST
AFRICAN
BREWERIES
LIMITED**

Our Strategic Journey...

- > We have completed our latest wave (past 3 years) of change and bedded down benefits
- > Invested in the business in the past 2-3 years in plant, brands and people to create a platform for future growth:
 - > This will enhance our future capacity to be competitive
- > We have set ourselves aggressive plans to grow our business, key areas of focus being:
 - > Brands, people capability, systems, efficiency (production & overheads)
- > At the same time we are putting in place enablers to help us achieve our plans: communication and IT systems [VoIP and SAP] , flexible cost base, an effective organisation structure
- > We believe we are setting a solid foundation for the future



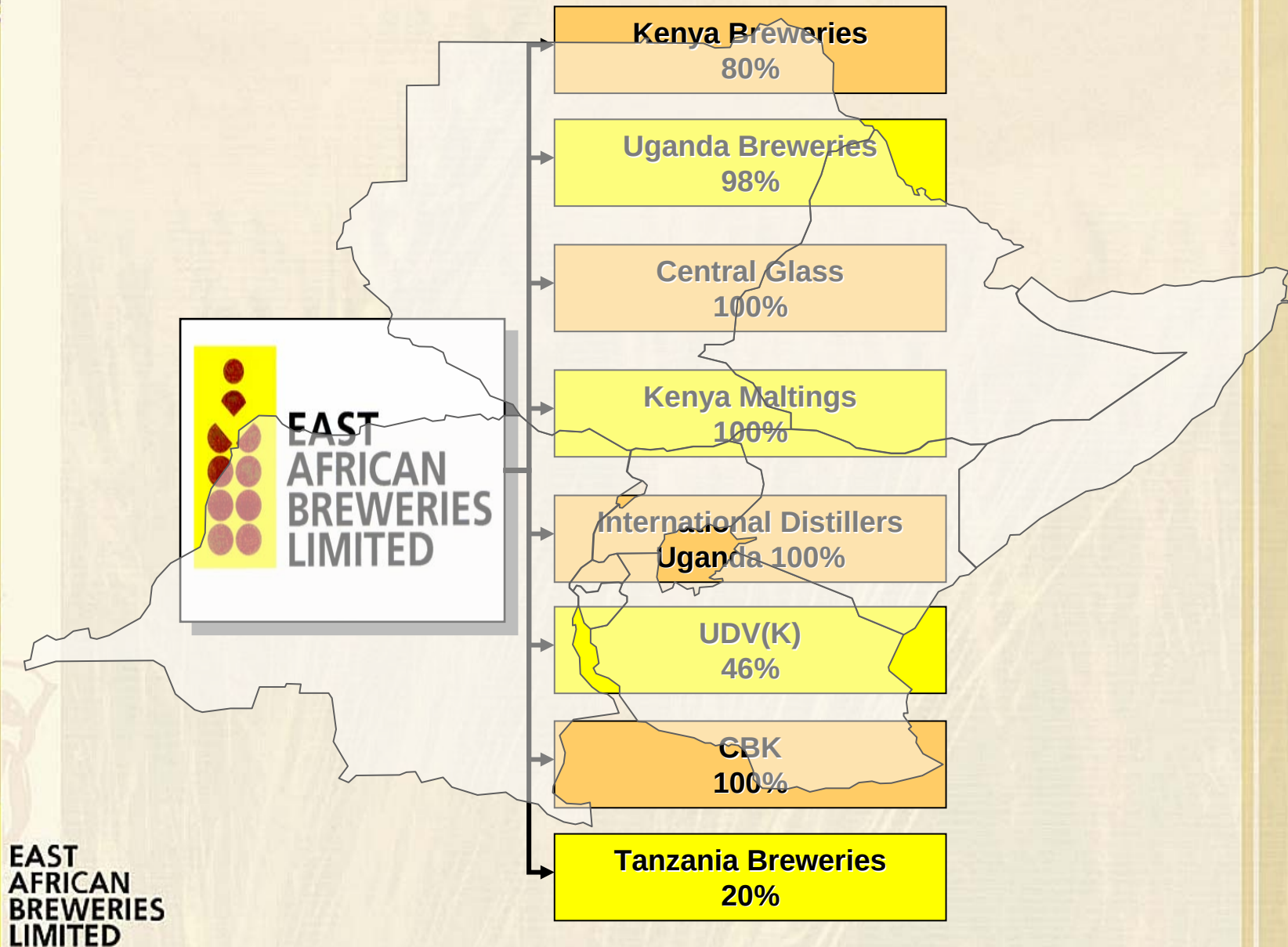
EABL Performance Review

Chris Caldwell
Group Commercial Director



**EAST
AFRICAN
BREWERIES
LIMITED**

EABL & its footprint...



Headlines...

Volume: Beer:1.9Mhl (+7%) Spirits:559K 9LC(+84%)

Net Sales Value: Kshs 11.1bn (+7%)

Marketing spend: Kshs 713m (+33%)

PBT: Ksh 4.6bn (+7%)

Capex spend: Kshs 1.6bn

Cashflow: Kshs 6.5bn

Financial Overview...

Volumes



17%

Net Sales Value

after deducting excise duties



7%

Operating Costs



9%

Trading profit



10%

Profit before tax



7%

Earnings per share



7%

Creating Shareholder Value

ROIC at 21.5%



1.4ppts

Investment of Ksh 2.5 billion in sales, marketing and capex



Ksh 1.5bn

Free cash flow Ksh 6.5 bn



Ksh 1.0bn

Recommended interim dividend 1.75 Ksh per share



17%

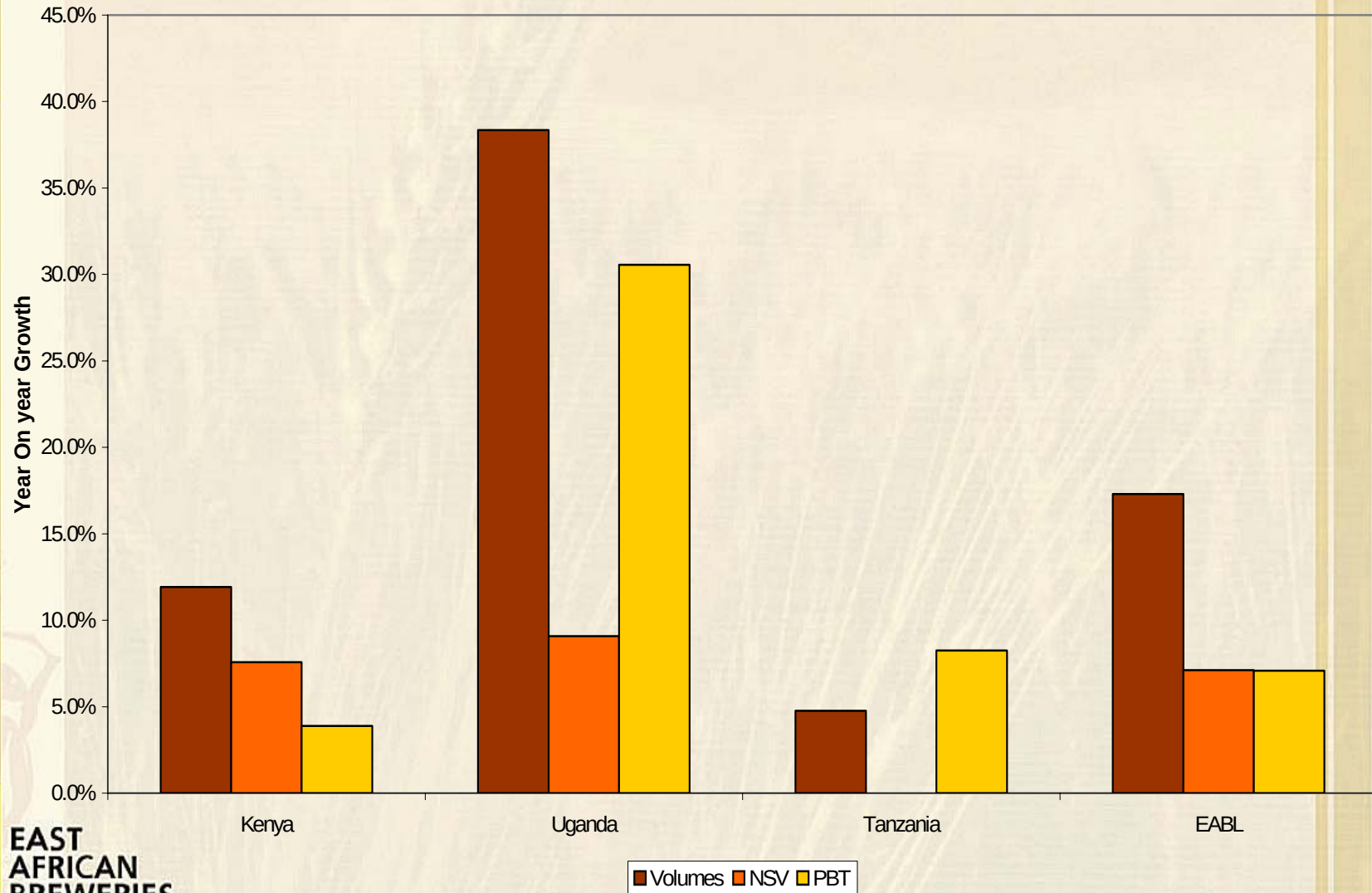
EPS Ksh 4.12



7%

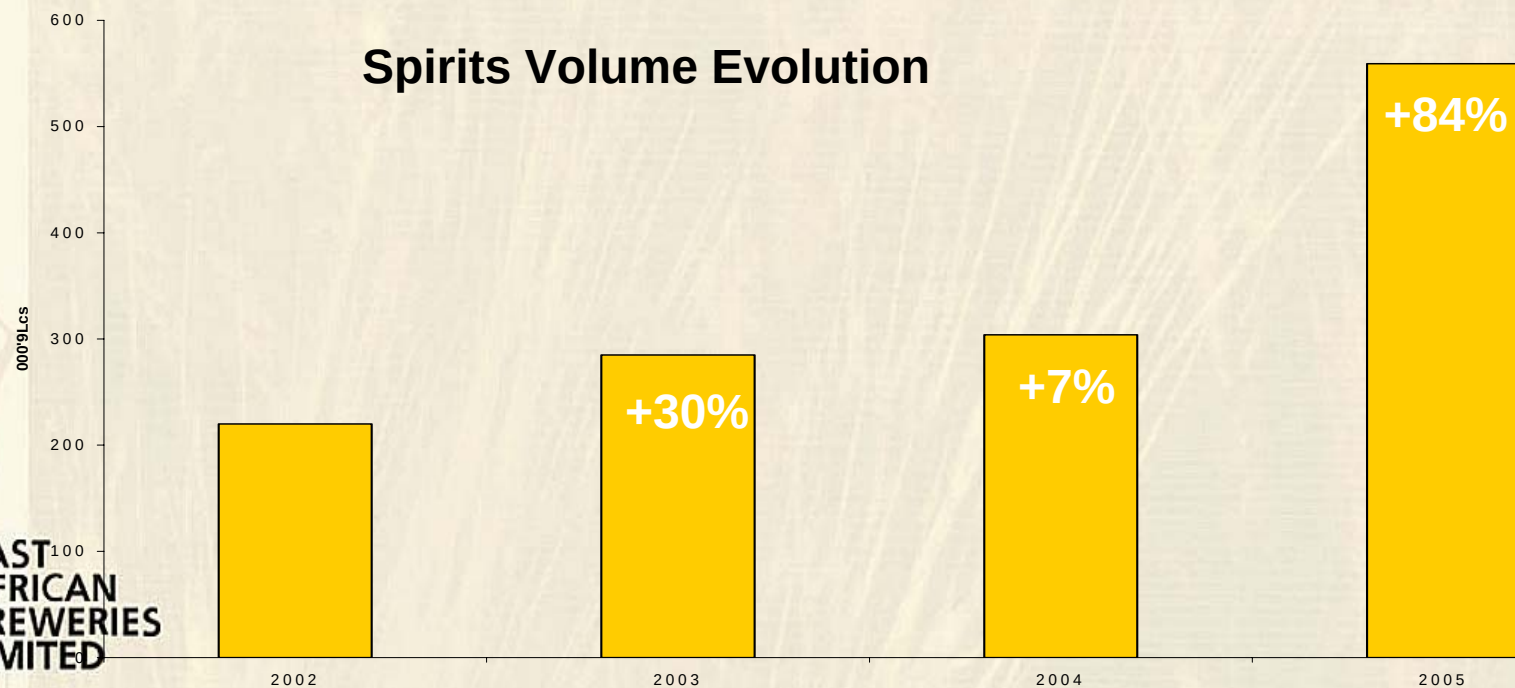
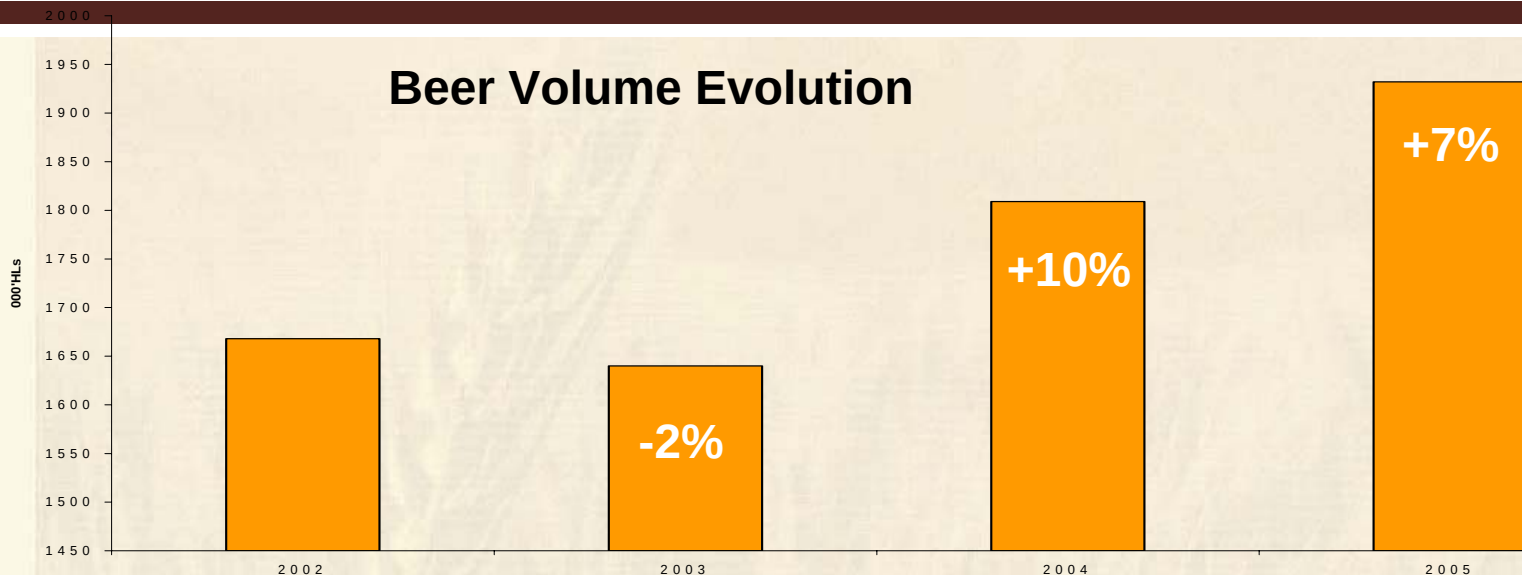
Performance By Country...

EABL F06 First Half Performance



**EAST
AFRICAN
BREWRIES
LIMITED**

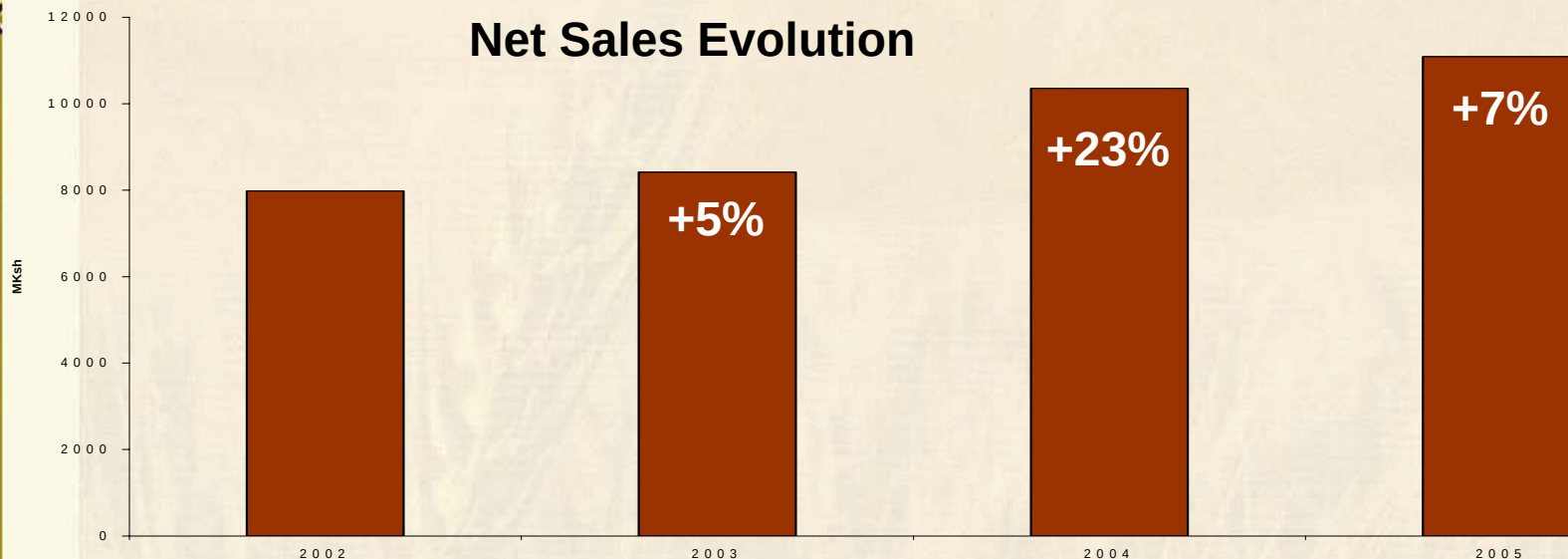
Building An Enduring Business...



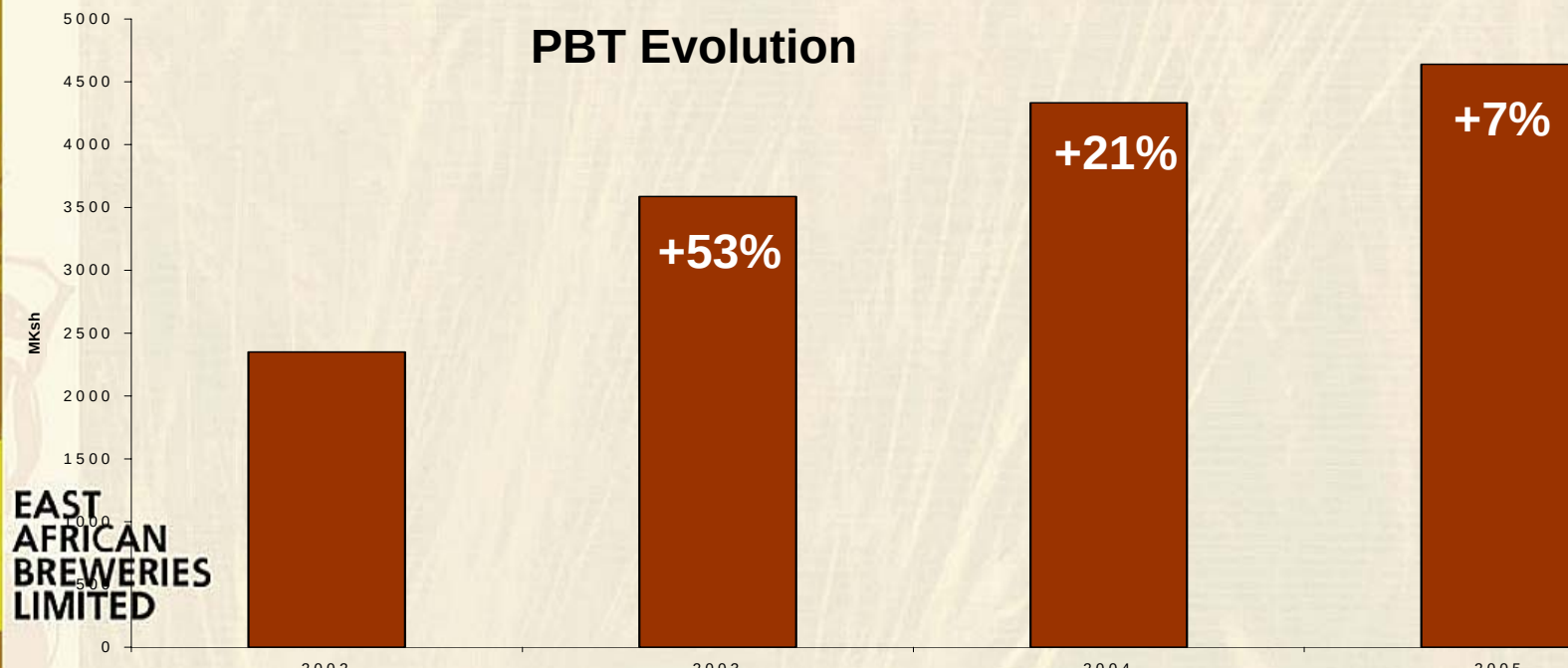
**EAST
AFRICAN
BREWERIES
LIMITED**

Building An Enduring Business...

Net Sales Evolution

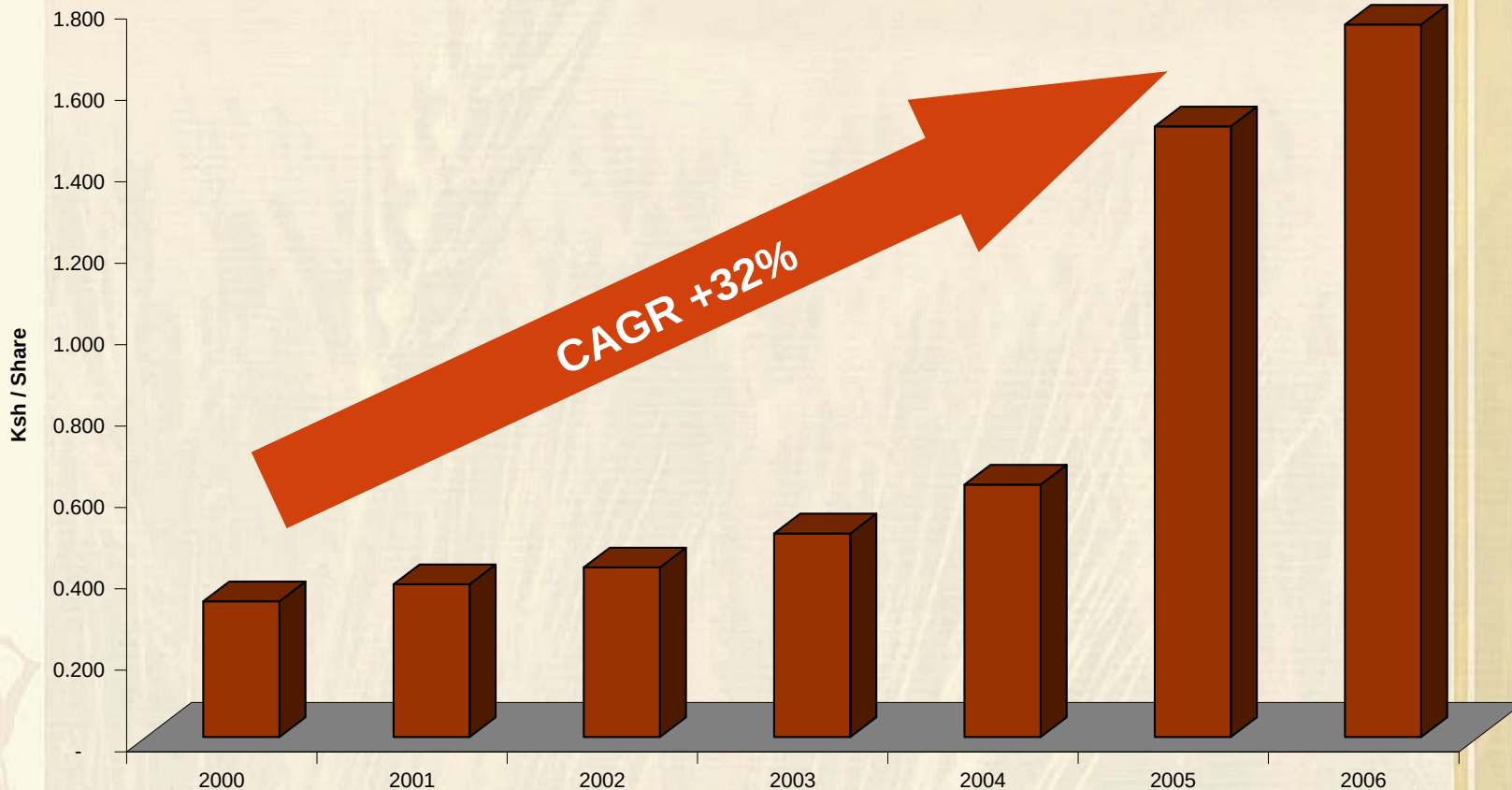


PBT Evolution



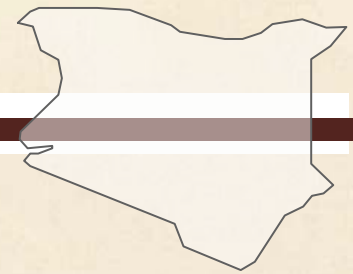
Building An Enduring Business...

Interim Dividend Growth

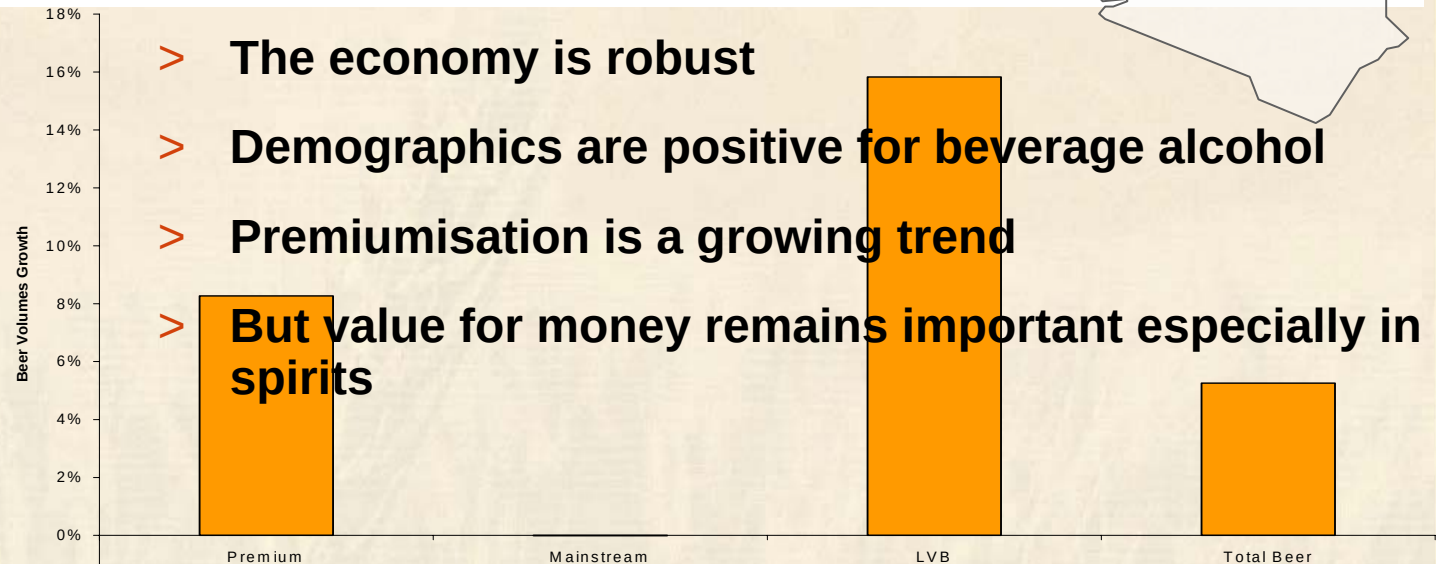


 **EAST
AFRICAN
BREWERIES
LIMITED**

Kenya remains key...



- > The economy is robust
- > Demographics are positive for beverage alcohol
- > Premiumisation is a growing trend
- > But value for money remains important especially in spirits

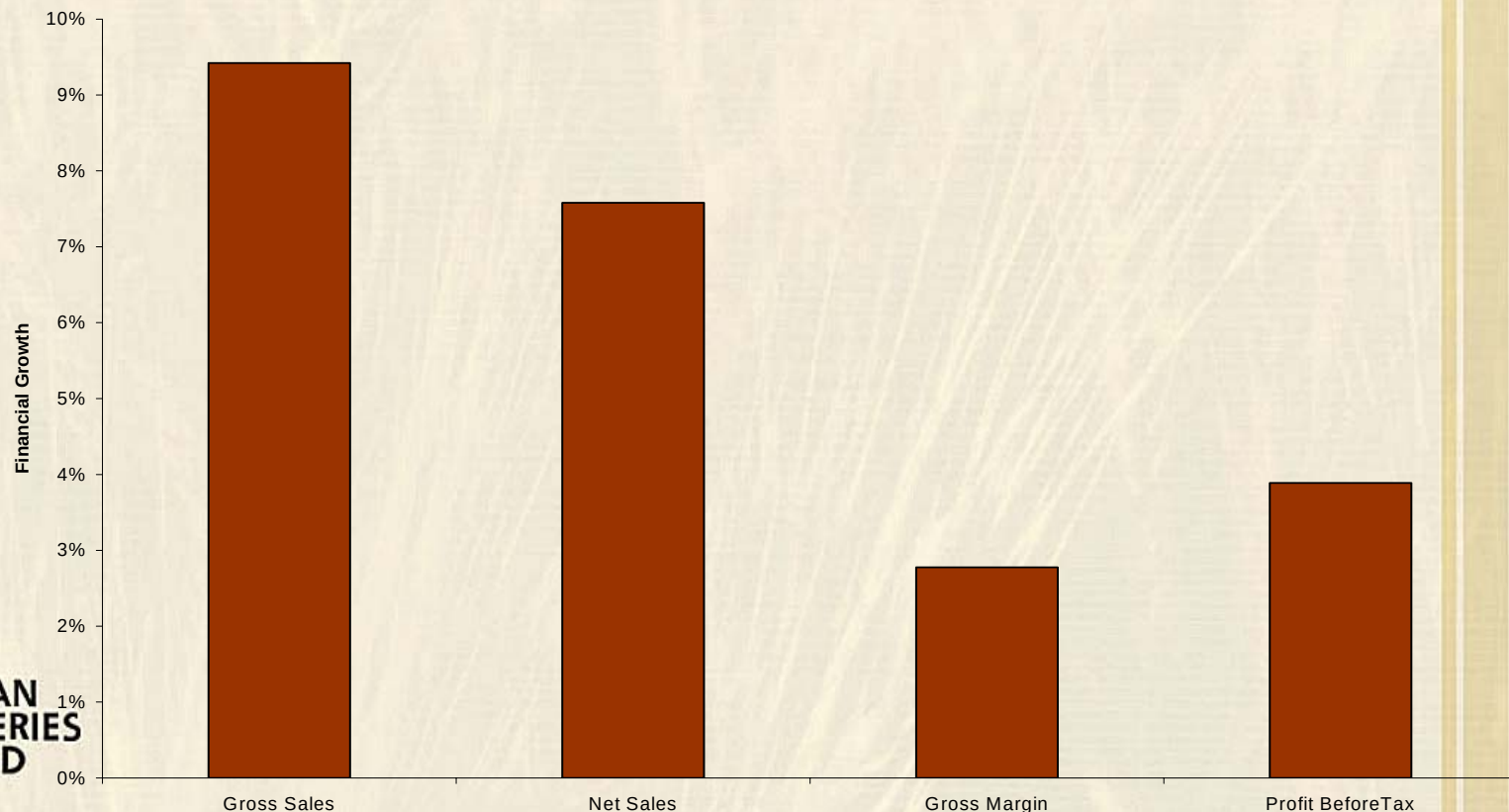


- > Consumer perception of spirits is improving
- > Our dedicated sales teams & new route to market are now delivering improved sales and marketing executions



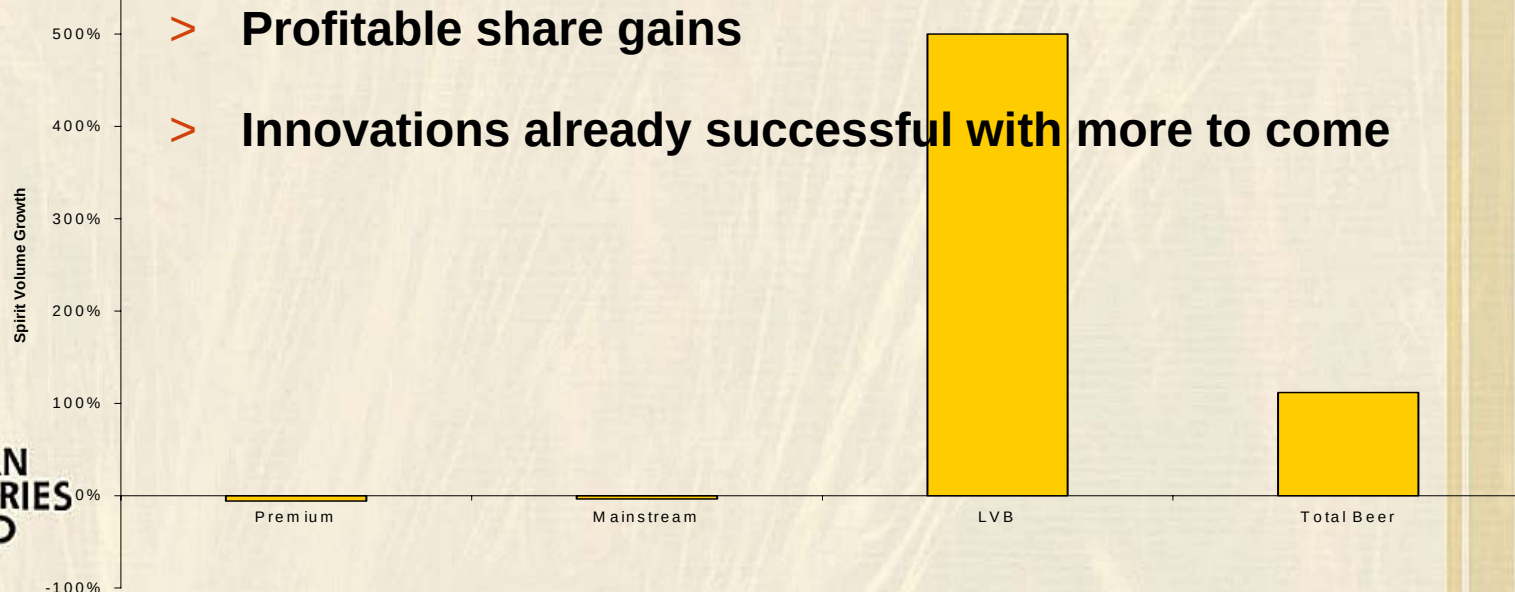
Kenya remains key...

- > Key investments in beer & spirit capacity will support continued growth efficiently
- > Investing behind brands to support innovation & premiumisation creates sustainability
- > Managing the cost base tightly to generate returns



**EAST
AFRICAN
BREWRIES
LIMITED**

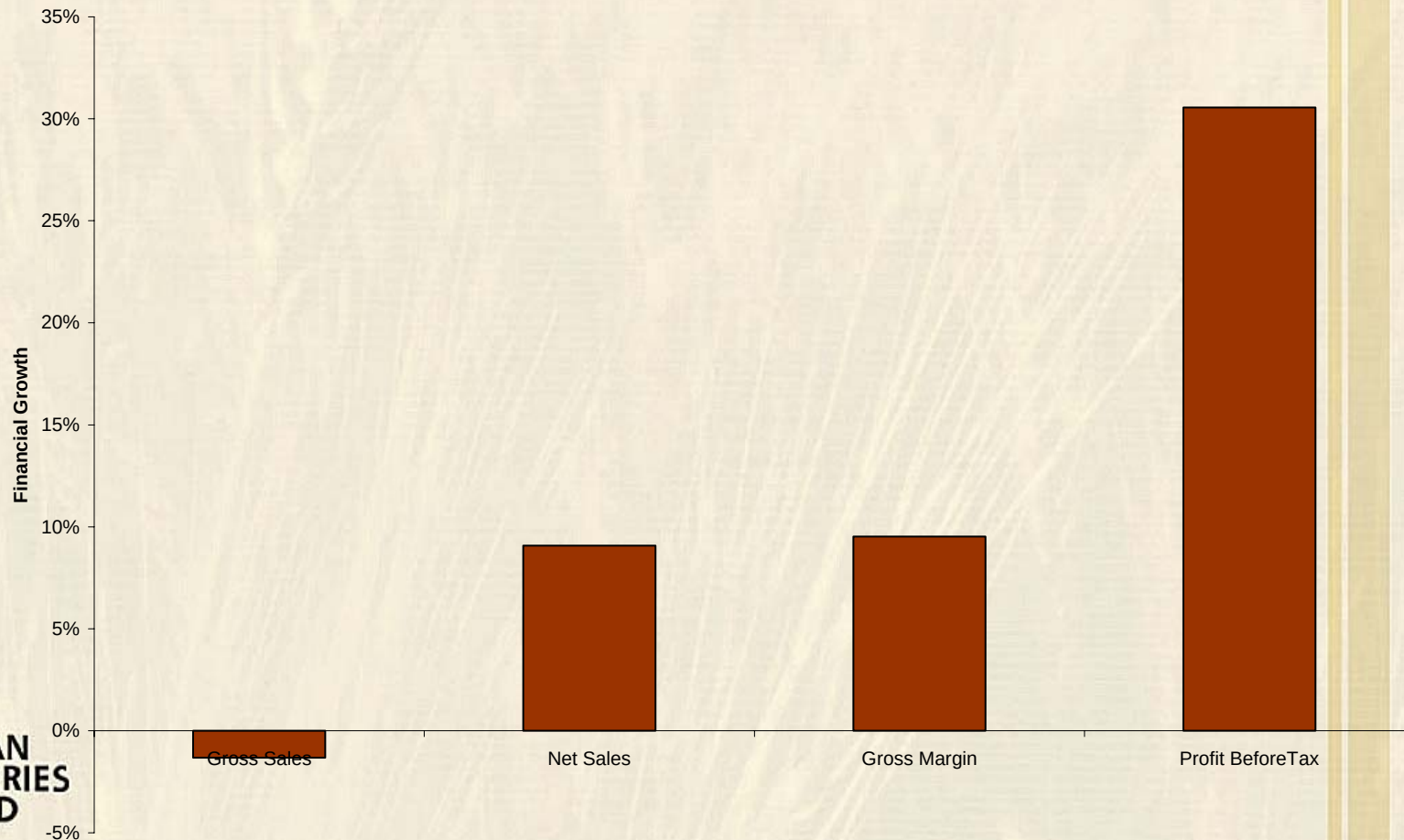
With Uganda growing fast...



With Uganda growing fast...

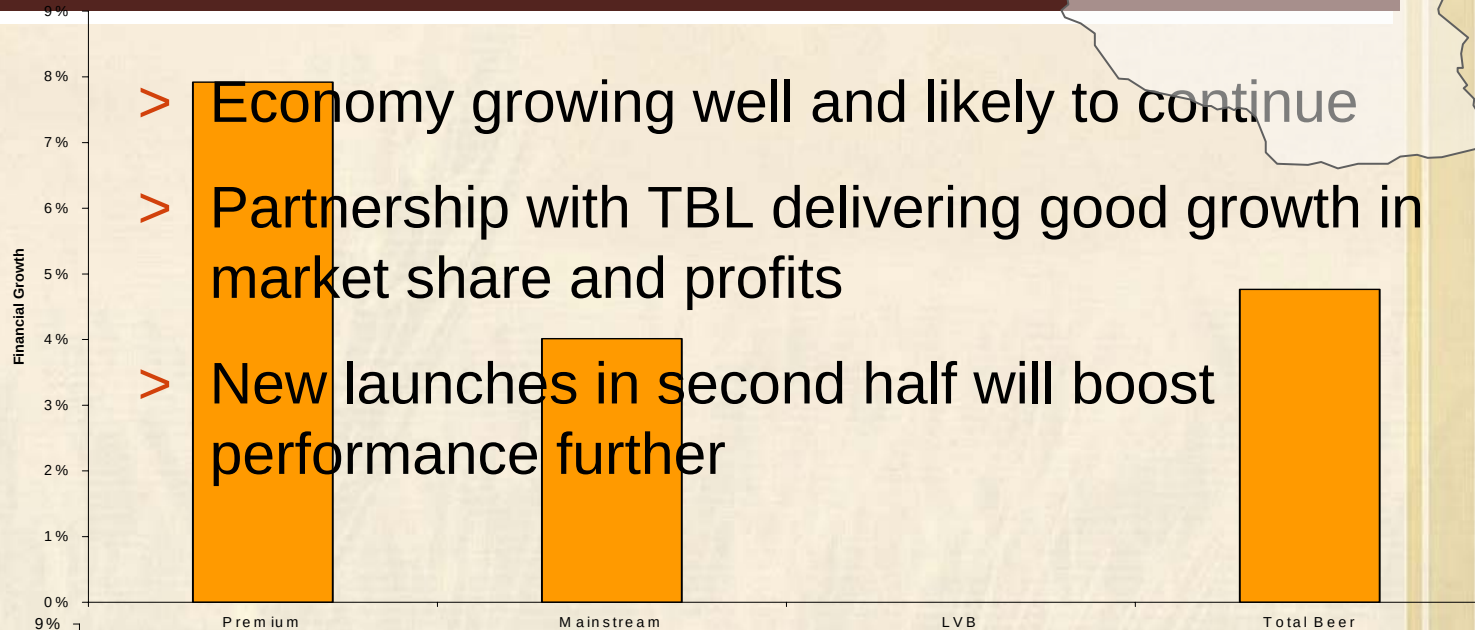
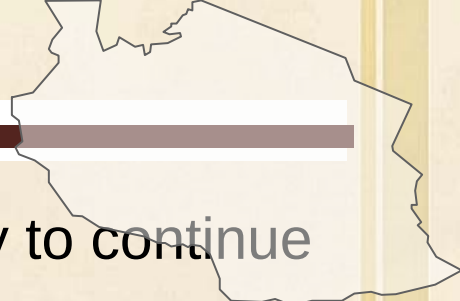


- > Investments paying dividends as brewery breaks production records
- > Mix issues hold back margin growth
- > Stringent cost control drives profit

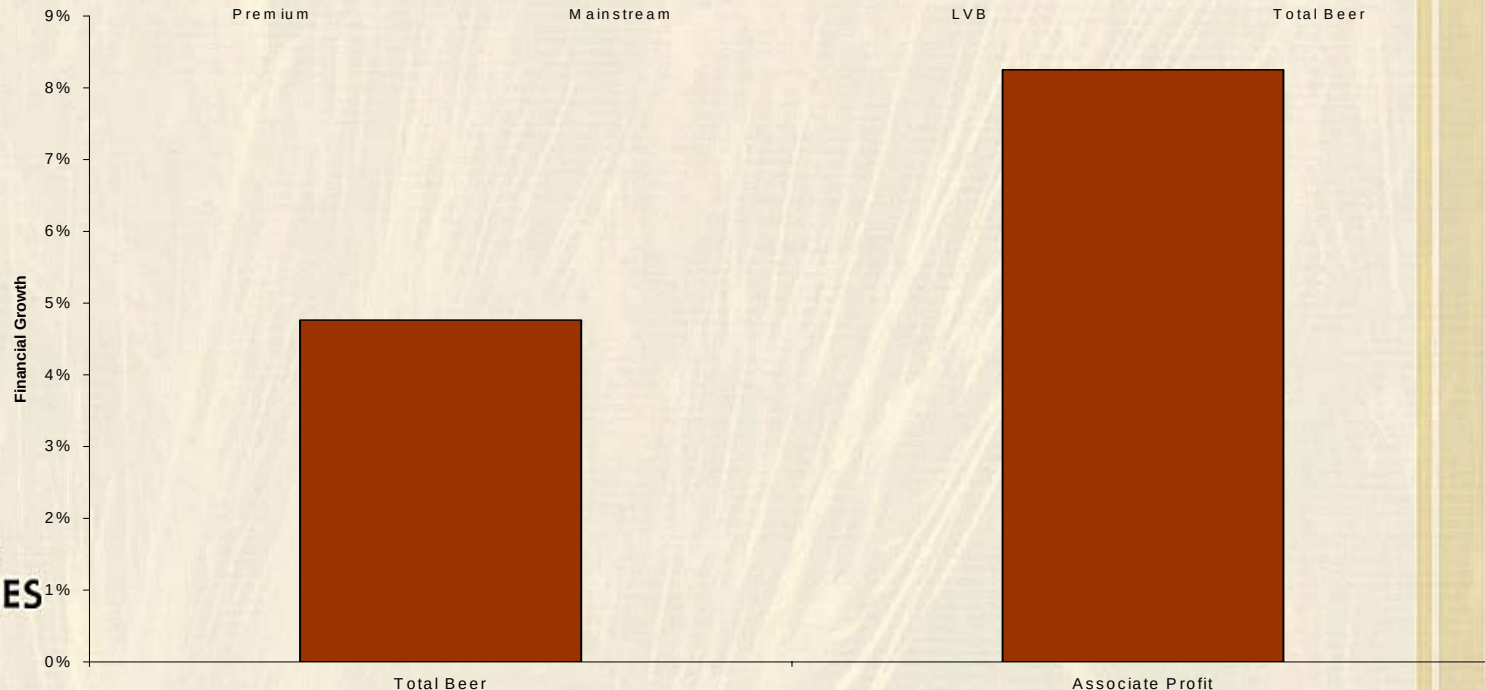


**EAST
AFRICAN
BREWERIES
LIMITED**

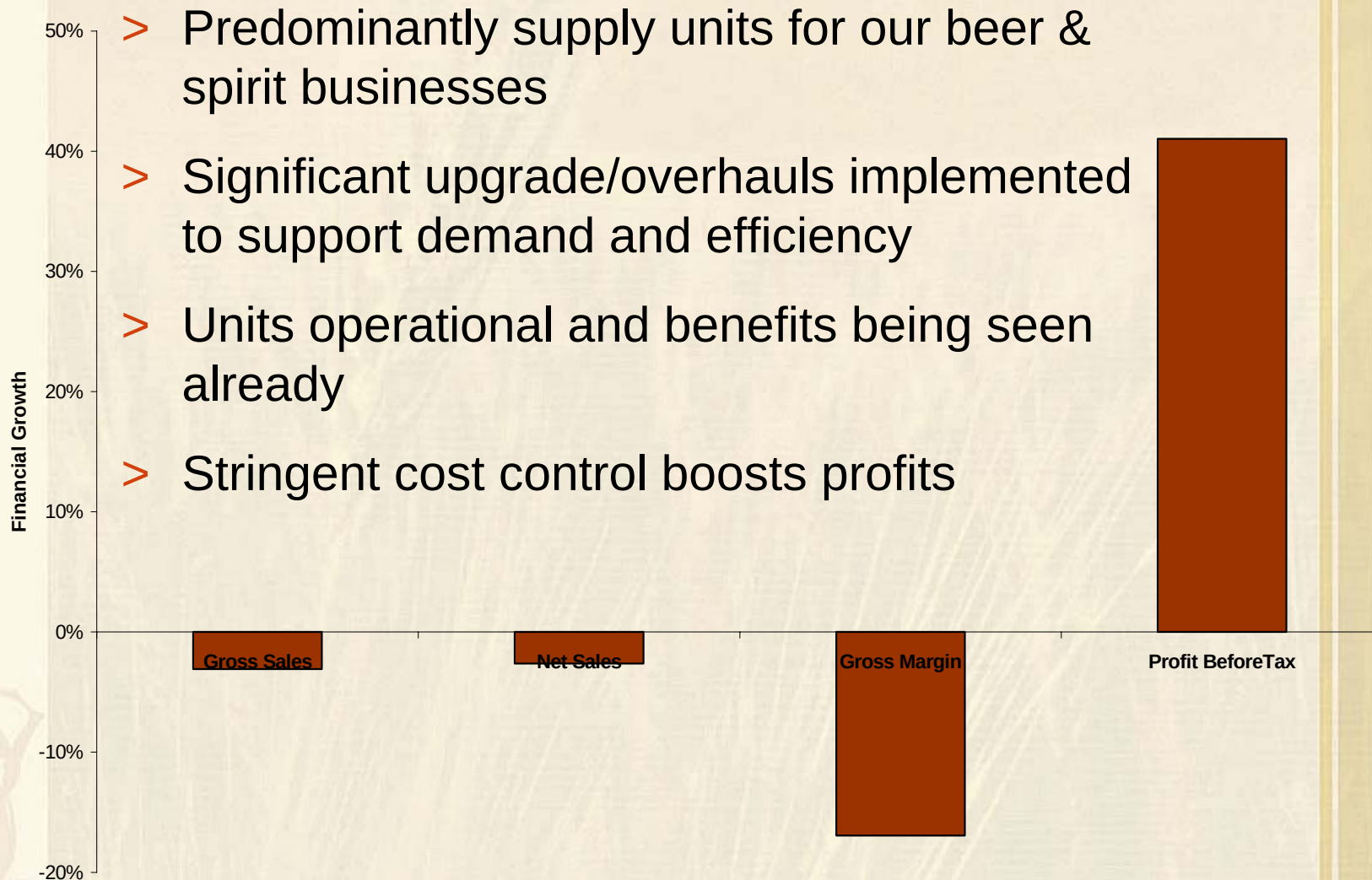
And Tanzania growing...



- > Economy growing well and likely to continue
- > Partnership with TBL delivering good growth in market share and profits
- > New launches in second half will boost performance further



Other group operations...



- > Predominantly supply units for our beer & spirit businesses
- > Significant upgrade/overhauls implemented to support demand and efficiency
- > Units operational and benefits being seen already
- > Stringent cost control boosts profits

Our portfolio is changing...

	Volume			Net sales*		
	As a % of total EABL volume		Organic growth (%)	As a % of total EABL net sales*		Organic growth (%)
	F05	F06		F05	F06	
Beer	87	79	7	83	83	6
RTDs	1	1	42	1	2	42
Spirits	13	20	89	8	9	22
Other				7	7	(3)
Total			<u>17</u>			<u>7</u>

Consolidated P&L...

East African Breweries Limited

Interim Financial Report for six months period ended 31 December 2005 (UNAUDITED)

Consolidated Profit and Loss Account

	Six months to 31-Dec-05	Six months to 31-Dec-04 (Restated)	
	<u>KShsM</u>	<u>KShsM</u>	<u>Change %</u>
Gross Turnover	19,685	18,424	6.8%
Indirect Taxes	(8,598)	(8,073)	6.5%
Net Revenue	11,087	10,351	7.1%
Cost of Sales	(4,301)	(3,680)	16.9%
Gross profit	6,786	6,671	1.7%
Other operating income /(expense)	85	87	-2.3%
Selling and distribution costs	(721)	(817)	-11.7%
Administrative expenses	(2,027)	(2,199)	-7.8%
Profit from operations	4,123	3,741	10.2%
Net finance income	84	192	-56.3%
Income from associate	433	399	8.5%
Profit before taxation	4,640	4,333	7.1%
Income tax expense	(1,325)	(1,253)	5.7%
Profit after taxation	3,315	3,080	7.6%
Minority interest	(601)	(557)	8.0%
Net profit	2,714	2,523	7.6%
Basic earnings per share	4.12	3.83	7.5%
Dividend per share	1.75	1.50	16.7%

Consolidated Balance Sheet...

East African Breweries Limited

Interim Financial Report for six months period ended 31 December 2005 (UNAUDITED)

Consolidated balance sheet

	31-Dec-05 <u>K ShsM</u>	30-Jun-05 <u>K ShsM</u>	31-Dec-04 <u>K ShsM</u>
ASSETS			
Non current assets			
Property plant and equipment	9,306	8,204	7,718
Prepaid Operating Lease rentals	33	33	34
Investment in associates	1,162	1,025	1,214
Other Investments	10	10	10
Goodwill	649	649	660
Deferred tax	-	2	15
Defined benefit asset	116	116	116
	11,276	10,039	9,767
Current assets			
Stocks	3,649	3,335	3,062
Debtors	2,760	1,963	1,648
Due from related companies	129	228	137
Taxation - current	28	36	34
Term deposits	5,687	6,357	6,098
Cash and bank balances	791	780	1,397
	13,044	12,699	12,376
TOTAL ASSETS	24,320	22,738	22,143
EQUITY AND LIABILITIES			
<u>Share capital and reserves:</u>	<u>15,903</u>	<u>15,347</u>	<u>14,286</u>
<u>Minority interest</u>	<u>1,790</u>	<u>1,658</u>	<u>1,808</u>
Non Current Liabilities			
Deferred Tax	1,407	1,494	1,217
Provision for staff gratuity	78	197	207
	1,485	1,691	1,424
Current Liabilities			
Creditors	4,032	3,034	4,051
Due to related companies	748	581	143
Taxation payable	222	240	130
Dividend payable	140	65	223
Bank overdraft	-	122	78
	5,142	4,042	4,625
TOTAL EQUITY MINORITY INTEREST AND LIABILITY	24,320	22,738	22,143

Consolidated Cashflow...

East African Breweries Limited

Interim Financial Report for six months period ended 31 December 2005 (UNAUDITED)

Consolidated cash flow statement

	Six months to 31-Dec-05 <u>KShsM</u>	Twelve months to 30-Jun-05 <u>KShsM</u>	Six months to 31-Dec-04 <u>KShsM</u>
Cash flow from operating activities	3,123	6,075	4,393
INVESTING ACTIVITIES			
Purchase of property, plant and equipment	(1,588)	(1,223)	(308)
Proceeds from disposal of property, plant and equipment	1	56	50
Dividends received from Associate	296	763	382
Pre- Acquisition dividends received from subsidiary		11	
Cash flows from investing activities	(1,291)	(393)	124
FINANCING ACTIVITIES			
Dividends paid to shareholders	(1,901)	(2,807)	(1,849)
Dividends paid to minorities	(469)	(1,061)	(462)
Bonus share issue costs		(10)	
Cash flows from financing activities	(2,370)	(3,878)	(2,311)
Net increase in cash and cash equivalents	(538)	1,804	2,206

Consolidated Changes in equity...

East African Breweries Limited

Interim Financial Report for six months period ended 31 December 2005 (UNAUDITED)

Consolidated statement of changes in equity

	Share Capital <u>KShsM</u>	Share Premium <u>KShsM</u>	Revaluation Surplus <u>KShsM</u>	Retained Earnings <u>KShsM</u>	Proposed Dividends <u>KShsM</u>	Total <u>KShsM</u>
At 1 July 2005	1,318	1,959	2,307	7,786	1,977	15,347
Exchange differences on translation of foreign subsidiaries			(36)	(145)		(181)
Net profit for the year				2,714		2,714
Final dividend for 2005 paid					(1,977)	(1,977)
At 31 December 2005	1,318	1,959	2,271	10,355	-	15,903